

June 10, 2026 08:55 AM GMT

Investor Presentation | Asia Pacific

Asia Summer School: China Materials

Supply disruptions, alongside improving demand from ESS & AI, support selective materials exposure.

We prefer aluminum, copper, lithium, uranium, gold, and glass fiber equities in this environment.

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GREATER CHINA MATERIALS	
Asia Pacific	
Industry View	Attractive

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Asia Summer School 2026



Morgan Stanley

June 12, 2026

INVESTOR PRESENTATION

Asia Summer School: China Materials

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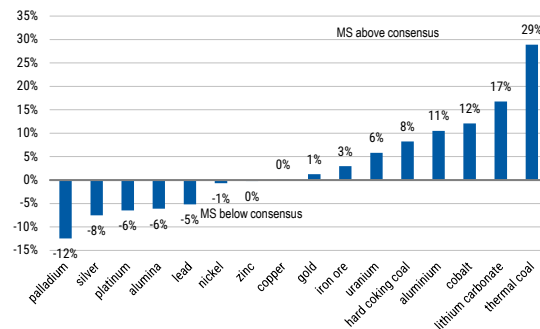
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Key Changes

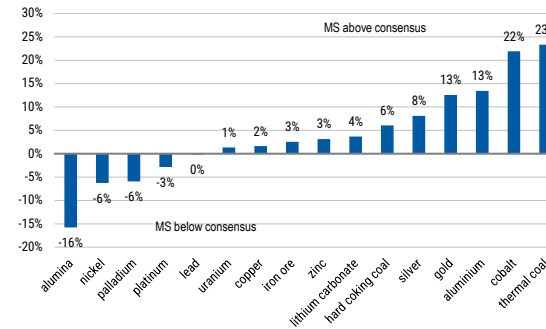
Morgan Stanley Commodities Forecasts vs. Consensus

	unit	MS	CY2026e Consensus	% diff	MS	CY2027e Consensus	% diff	MS	Long-Term REAL Consensus	% diff
Base Metals										
Aluminium	US\$/t	3,386	3,064	11%	3,263	2,876	13%	2,500	2,623	-5%
Copper	US\$/t	12,292	12,280	0%	12,250	12,054	2%	9,700	10,263	-5%
Nickel	US\$/t	16,706	16,816	-1%	16,500	17,598	-6%	16,400	17,203	-5%
Zinc	US\$/t	3,021	3,027	0%	2,925	2,836	3%	2,801	2,713	3%
Lead	US\$/t	1,883	1,986	-5%	2,100	2,104	0%	2,250	1,936	16%
Alumina	US\$/t	312	332	-6%	324	384	-16%	380	362	5%
Precious Metals										
Gold	US\$/oz	4,916	4,855	1%	4,950	4,398	13%	2,500	3,459	-28%
Silver	US\$/oz	73.8	79.8	-8%	70.7	65.4	8%	31.3	54.5	-43%
Platinum	US\$/oz	1,994	2,132	-6%	1,993	2,051	-3%	1,940	1,411	37%
Palladium	US\$/oz	1,482	1,693	-12%	1,431	1,521	-6%	1,250	1,187	5%
Bulks										
Iron Ore	US\$/t	100	98	3%	96	94	3%	90	85	6%
Hard Coking Coal	US\$/t	231	214	8%	226	213	6%	191	194	-2%
Thermal Coal	US\$/t	151	117	29%	138	111	23%	120	99	21%
Other Metals										
Cobalt	US\$/lb	26.7	23.8	12%	27.0	22.1	22%	14.0	19.6	-29%
Lithium carbonate	US\$/t	22,840	19,559	17%	19,000	18,326	4%	14,800	16,025	-8%
Uranium	US\$/lb	93.4	88.2	6%	93.8	92.5	1%	61.0	78.7	-22%

Morgan Stanley vs consensus 2026e



Morgan Stanley vs consensus CY2027e

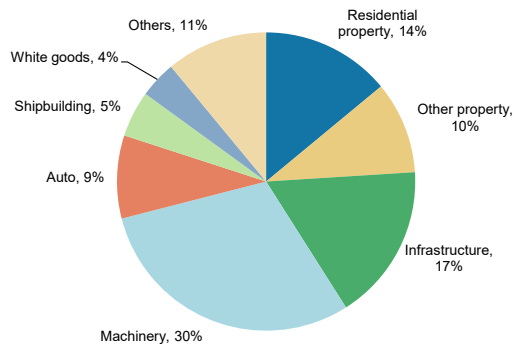


Source: Consensus Economics, Morgan Stanley Research. Note: IO, cfr N.China; HCC, spot fob Aust.; TC, spot NEWC, Consensus = Consensus Economics. e = Morgan Stanley Research estimates.

Steel Industry

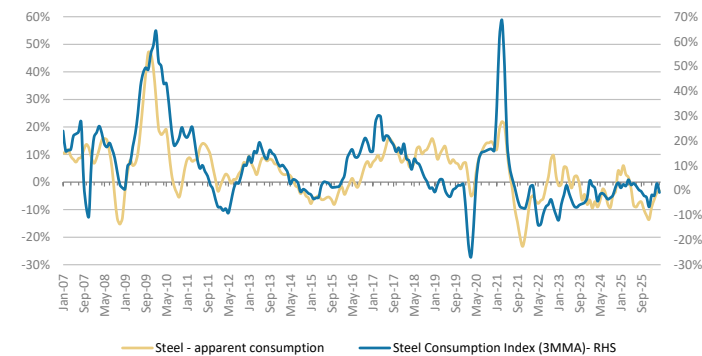
China Steel Consumption Index

2026 MSe China Steel Demand Drivers



YoY Change - %

China Steel Consumption Index



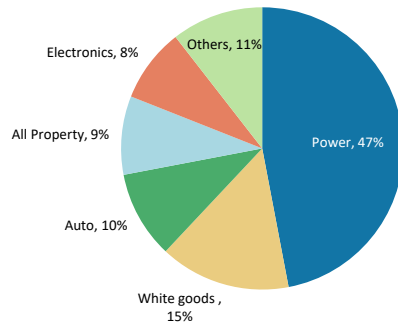
Key Drivers & Weightings	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	2025	2026e
(YoY chg)																		
Res Property - 14%	-4%	-4%	-1%	-3%	-6%	-8%	-8%	-10%	-13%	-21%	-19%	-19%	-16%	-16%	-11%	-10%	-20%	-16%
Other Property - 10%	-15%	-15%	-3%	0%	1%	1%	-10%	-16%	-9%	-12%	-12%	-6%	1%	1%	6%	-14%	-10%	-10%
Infrastructure - 17%	0%	0%	2%	3%	1%	4%	-10%	-10%	1%	-13%	-7%	-21%	7%	7%	8%	-12%	-5%	5%
Machinery Sales - 30%	-13%	48%	12%	8%	10%	21%	15%	18%	24%	16%	15%	5%	50%	-17%	17%	24%	14%	3%
Auto sales - 9%	-1%	34%	8%	10%	11%	14%	15%	16%	15%	9%	3%	-6%	-3%	-15%	-1%	-2%	9%	-5%
Ship building - 5%	9%	-27%	-24%	8%	14%	0%	36%	12%	36%	28%	28%	28%	16%	74%	69%	0%	11%	5%
White goods sales - 4%	5%	26%	11%	5%	4%	3%	4%	2%	-4%	-11%	-14%	-11%	11%	-9%	-3%	-4%	1%	-5%
Other Industrial (PMI) - 11%	-1%	0%	1%	-1%	-1%	0%	-1%	-1%	0%	-1%	-1%	0%	-1%	-1%	0%	0%	0%	0%
Steel Consumption Index	1%	2%	2%	4%	2%	3%	2%	0%	0%	-2%	-3%	-7%	-2%	-2%	3%	-1%	0.9%	-1.9%
Steel Appt. Consumption	-1%	2%	7%	-4%	-10%	-11%	-6%	-5%	-10%	-14%	-12%	-14%	-1%	-4%	-7%	1%	-7%	-3%

Source: CEIC, Morgan Stanley Research. e = Morgan Stanley Research estimates.

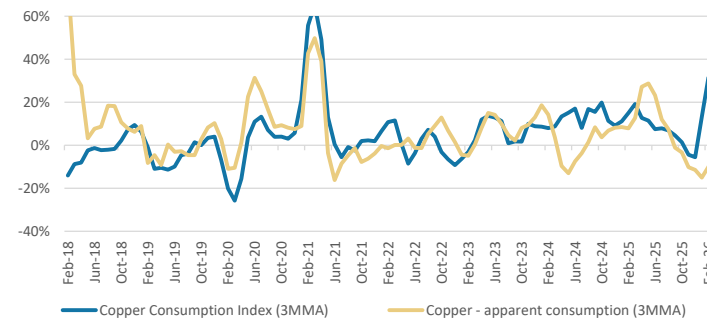
Copper Industry

China Copper Consumption Index

China Copper Demand Drivers



YoY Change - % China Copper Consumption Index (CCI)



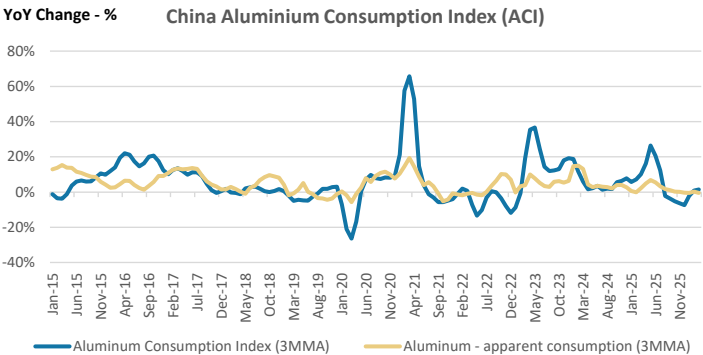
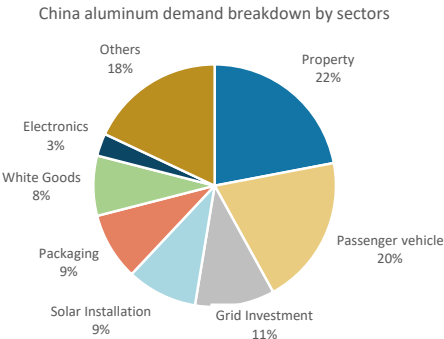
MS China's Copper Consumption Index (CCI):

Key Drivers & Weightings	2019	2020	2021	2022	2023	2024	2025	2026e
(YoY chg)								
Power - 47%	-7%	-2%	0%	2%	5%	15%	5%	8%
White goods - 15%	2%	-1%	7%	-5%	15%	15%	1%	0%
Auto (sales) - 10%	-8%	-2%	4%	2%	12%	5%	9%	3%
Property (completion) - 9%	9%	-1%	-11%	-40%	-20%	-23%	-20%	-16%
Electronics (semiconductor production) - 8%	10%	37%	15%	-12%	17%	20%	10%	10%
Others (PMI) - 11%	0%	0%	1%	0%	-20%	-25%	0%	-10%
Copper Consumption Index (3MMA)	-2.1%	1.5%	2.0%	-3.9%	3.7%	7.3%	2.7%	2.6%

Source: CEIC, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Aluminum Industry

China Aluminum Consumption Index



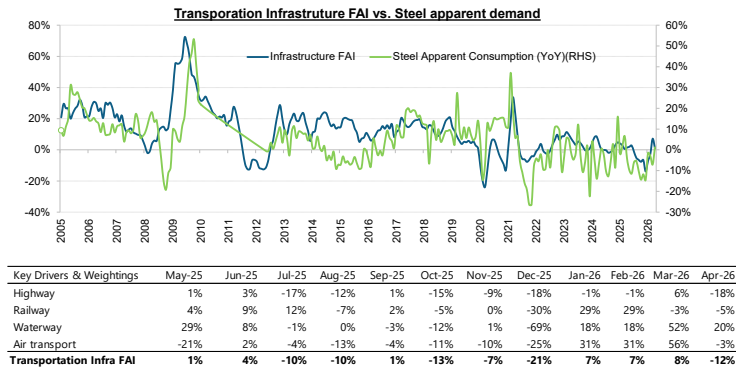
China Aluminum Consumption Index																
Key Drivers & Weighing	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	2026e
Property - 22%	-5%	-5%	-2%	-3%	-5%	-7%	-8%	-11%	-12%	-20%	-18%	-17%	-14%	-14%	-8%	-15%
Passager Vehicle - 20%	-1%	34%	8%	10%	11%	14%	15%	16%	15%	9%	3%	-6%	-3%	-15%	-1%	8%
Power (Grid Investment) - 11%	33%	33%	18%	-2%	33%	4%	-1%	26%	-11%	-14%	-1%	0%	109%	109%	-12%	15%
Solar production - 9%	7%	7%	124%	215%	388%	-38%	-48%	-55%	-54%	-38%	-12%	-43%	-18%	-18%	-56%	-3%
Packaging - 9%	4%	4%	7%	6%	4%	3%	0%	-2%	1%	-2%	-1%	-1%	0%	0%	2%	3%
White Goods - 8%	2%	35%	11%	4%	5%	7%	4%	2%	-4%	-11%	-14%	-11%	11%	-9%	-3%	-5%
Electronics - 3%	-4%	-4%	0%	-4%	4%	9%	10%	14%	19%	16%	17%	12%	21%	21%	31%	10%
Others - 18%	-1%	0%	1%	-1%	-1%	0%	-1%	-1%	0%	-1%	-1%	0%	-1%	-1%	0%	2%
Aluminum Consumption Index (3MMA)	6%	7%	10%	16%	26%	21%	12%	-2%	-4%	-5%	-6%	-7%	-2%	1%	1%	1.1%

Source: CEIC, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Infrastructure

(17% of Steel Demand, 40% of Cement Demand, 15% of Aluminum Demand)

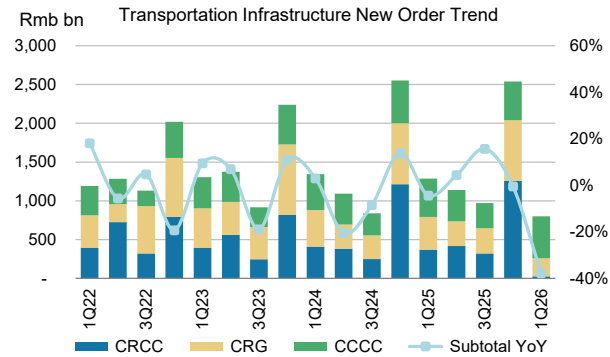
Infrastructure Spending Monthly FAI



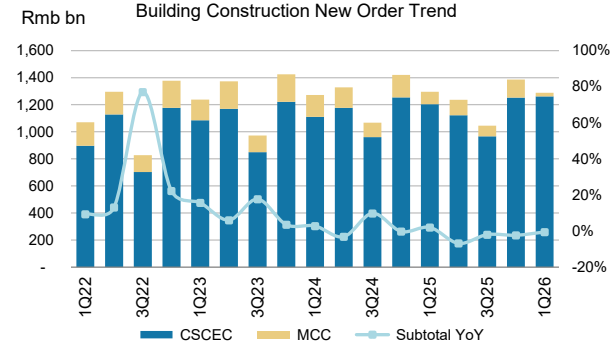
MS China Economics Team Estimates 3% YoY FAI Growth for 2026

	Weight	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Overall FAI Growth	100%	5.4%	2.9%	4.9%	5.1%	3.0%	3.2%	-3.8%	3.0%	2.0%
Manufacturing	36%	3.1%	-2.2%	13.5%	9.1%	6.5%	9.2%	0.6%	4.5%	4.0%
Infrastructure	29%	3.3%	3.4%	0.2%	11.5%	8.2%	9.2%	-1.5%	8.0%	4.5%
- Utility	7%	4.5%	17.6%	1.1%	19.3%	23.0%	23.9%	9.1%	8.5%	6.0%
- Transportation, Storage and Postal Service	10%	3.4%	1.4%	1.6%	9.1%	10.5%	5.9%	-1.2%	12.5%	4.9%
- Water Conservancy & Environment Management	12%	2.9%	0.2%	-1.2%	10.3%	0.1%	4.2%	-8.4%	3.5%	3.0%
Property	16%	9.2%	5.0%	5.0%	-8.4%	-8.1%	-10.8%	-17.5%	-11.5%	-10.0%
By Developers	13%	9.9%	7.0%	4.4%	-10.0%	-9.6%	-10.6%	-17.2%	-14.0%	-12.5%
- Land	4%	14.5%	6.7%	-2.1%	-5.7%	-5.9%	-7.7%	-13.7%	-8.0%	-6.0%
- Property excl. Land	8%	7.9%	7.2%	7.4%	-11.8%	-11.3%	-12.0%	-18.9%	-17.2%	-16.3%
Other Related Services	3%	6.5%	-3.0%	7.6%	-1.6%	-2.2%	-11.5%	-18.6%	-2.2%	-1.8%
Others*	18%	7.6%	7.7%	-1.6%	7.0%	1.9%	-2.4%	-4.2%	2.5%	1.2%
SOEs	40%	6.8%	5.3%	2.9%	10.1%	6.4%	5.7%	-2.5%	2.0%	1.2%
Private	60%	4.6%	1.6%	6.1%	2.3%	0.9%	1.6%	-4.7%	3.7%	2.5%

Transportation Infrastructure New Orders Trend



Building Construction New Orders Trend



Source: CEIC, NBS, Morgan Stanley Research. e = Morgan Stanley Research estimates.

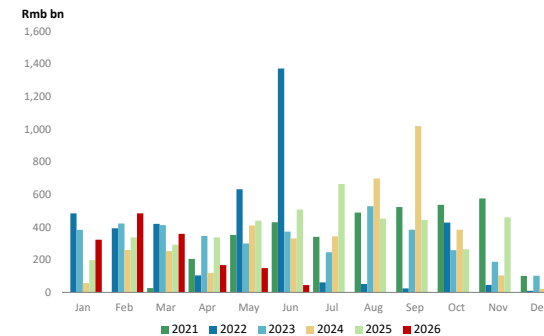
Infrastructure Funding for Infrastructure

LGSB Issuance by Sector

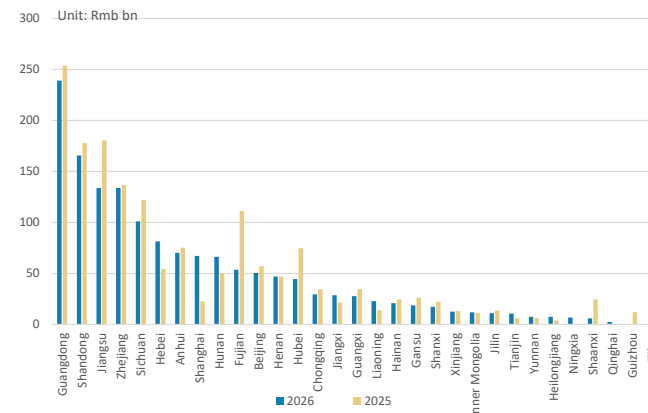
Net issuance of LGSB (Rmb bn)	2019	2020	2021	2022	2023	2024	2025	2026YTD
Infrastructure related:								
Airport	3	6	3	1	6	2	0	24
Municipal projects	1	30	96	135	118	140	101	88
Other Infrastructure	108	1,142	726	737	677	680	899	447
Railway	12	38	6	8	2	40	43	26
Bridge and tunnel	4	0	0	0	0	0	0	3
Rural development	175	235	136	220	138	107	116	6
Toll road	153	190	139	125	118	84	81	30
Urban railway	23	60	8	11	5	10	4	17
Water supply and treatment	38	298	177	345	485	190	174	56
Subtotal	517	2,000	1,291	1,584	1,547	1,254	1,418	698
Property related:								
Land purchase	686	0	0	0	0	0	330	102
Oldtown rebuild	6	9	12	34	0	0	7	0
Shanty town rebuild	721	395	472	573	226	146	178	34
Indemnificatory apartment	0	5	42	26	8	13	7	1
Other property	0	0	0	0.4	0	0	0	0
Subtotal	1,412	409	526	633	234	160	522	137
Multi-sectors:	22	211	103	888	350	838	514	109
Other sectors:								
Eco-zone development	31	103	92	147	55	61	24	5
Education	13	14	4	1	1	0	26	19
Environmental treatment	39	128	23	2	0	0	0	0
Tech	3	0	0	0	0	6	7	4
Healthcare	23	50	10	0	0	37	28	25
Poverty alleviation	6	10	0	0	0	0	1	0
High quality growth	0	56	0	133	123	101	78	23
*Others	211	483	1,373	576	1,097	1,314	1,652	475
Bank	16	135	159	63	536	235	322	0
Subtotal	342	979	1,660	922	1,813	1,754	2,138	552
Refinancing:	284	3	0	0	0	8	0	0
Grand Total	2,577	3,602	3,580	4,026	3,944	4,014	4,592	1,495
Infrastructure %	20%	56%	36%	39%	39%	31%	31%	47%

LGSB Issuance at a Slower Pace Since April

Monthly Total Issuance of Local Government Special Bond



LGSB Issuance: YTD 2026 vs. the Same Period in 2025 (By Province)



Note: Others include bonds issued with a bundle of projects in different sectors. **Source:** NDRC, Wind, Morgan Stanley Research.

Steel

China Steel Supply/Demand Model

China Steel: Supply, Demand

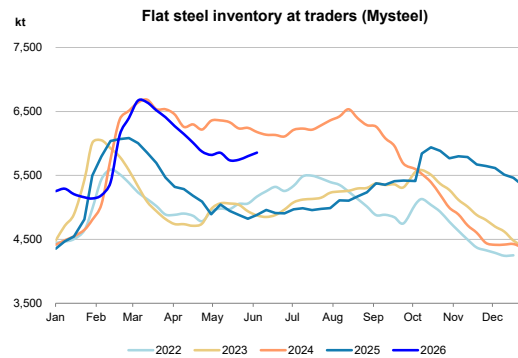
(millions of tones)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Supply/Demand & Pricing Model:																
Crude Steel Production	821	825	832	928	993	1,065	1,033	1,013	1,020	1,005	990	982	970	964	958	951
YoY - %	-2.3%	0.4%	0.9%	11.5%	7.0%	7.3%	-3.0%	-1.9%	0.7%	-1.5%	-1.5%	-0.8%	-1.2%	-0.7%	-0.7%	-0.7%
EAF Producton				99	103	98	109	98	98	94	100	102	124	137	139	141
EAF Producton %				11%	10%	9%	11%	10%	10%	9%	10%	10%	13%	14%	14%	15%
Steel Exports	112	109	76	70	64	54	67	67	91	111	119	105	103	102	100	98
Steel Imports	13	13	13	13	12	20	14	11	8	7	6	6	6	6	6	6
Net Imports/(Exports)	-100	-96	-62	-56	-52	-33	-53	-57	-84	-123	-113	-99	-97	-95	-94	-92
YoY - %	25%	-4%	-35%	-10%	-8%	-36%	57%	8%	47%	47%	-8%	-12%	-2%	-2%	-2%	-2%
Est Mill + trader Inventory Incr/(Decr)	-3	1	-2	0	-1	1	2	3	0	-1	1	1				
Appt Steel Consump (crude equiv)	704	724	769	869	940	1,029	976	951	934	918	895	878	869	865	860	856
YoY - %	-5.1%	3%	6%	13%	8%	9%	-5.2%	-2.5%	-1.8%	-1.8%	-2.5%	-1.9%	-1.0%	-0.5%	-0.5%	-0.5%
Appt Steel Cons (finished steel)	676	695	738	834	903	988	937	913	897	881	859	843	834	830	826	822
YoY - %	-5.1%	2.9%	6.2%	13.1%	8.2%	9.4%	-5.2%	-2.5%	-1.8%	-1.8%	-2.5%	-1.9%	-1.0%	-0.5%	-0.5%	-0.5%
EAF capacity addition			47	26	3	12	4	8	10	0	0	0	3	3	3	3
EAF capacity		94	141	167	170	182	186	194	204	204	204	204	207	210	213	216
EAF % of total capacity		9%	14%	15%	15%	15%	16%	16%	17%	17%	17%	17%	17%	18%	18%	18%
Crude Steel Capacity (EAF + BOF)	1,250	1,172	1,122	1,143	1,160	1,180	1,187	1,187	1,187	1,187	1,187	1,187	1,187	1,187	1,187	1,187
-- Net capacity addition /(reduction)	-50	-78	-50	-10	17	20	7	0	0	0	0	0	0	0	0	0
YoY - %	-4%	-6%	-4%	2%	1%	2%	1%	0	-3%	-2%	-2%	-3%	-2%	-1%	-1%	-1%
Output impacted by winter heating season production suspension			22	20	22	23	23	22	23	22	22	22	21	21	21	21
Avg. Utilization Rate - excl. IFF & EAF	71%	75%	80%	86%	86%	91%	87%	85%	86%	85%	83%	83%	82%	81%	81%	80%
Avg. Utilization Rate - incl. EAF	64%	68%	78%	86%	86%	91%	87%	85%	86%	85%	83%	83%	82%	81%	81%	80%
Domestic Demand Utili. Rate	56%	62%	69%	76%	81%	87%	82%	80%	79%	77%	75%	74%	73%	73%	72%	72%

Source: CISA, MIIT, Mysteel, Morgan Stanley Research. e = Morgan Stanley Research estimates.

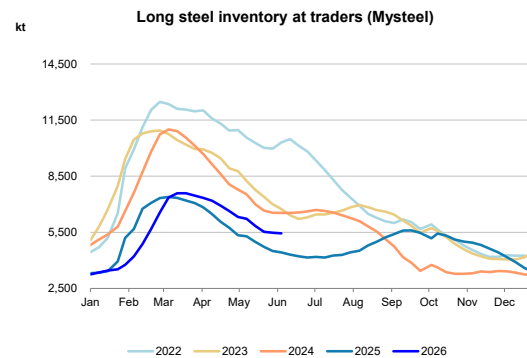
Steel

Inventory of Steel and Iron Ore

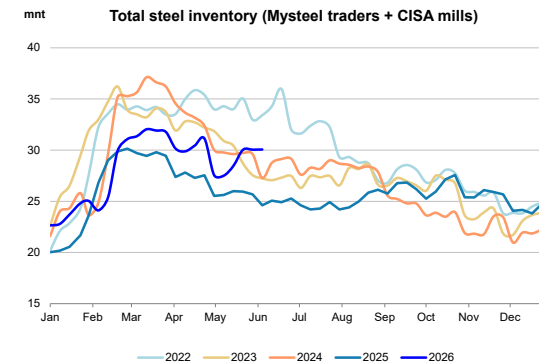
Flat Steel Inventory at Traders



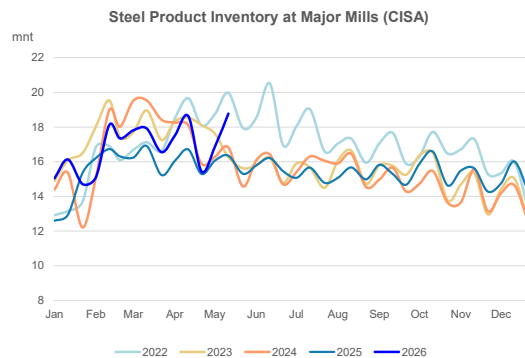
Long Steel Inventory at Traders



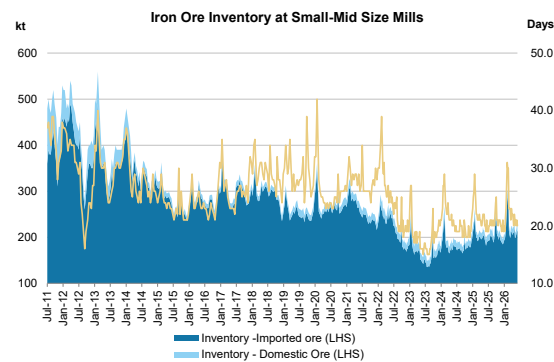
Total Steel Inventory (Mills + Traders)



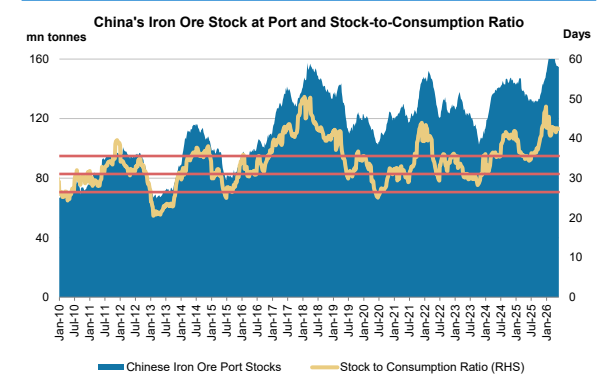
Steel Inventory at Major Mills



Iron Ore Inventory at Mills



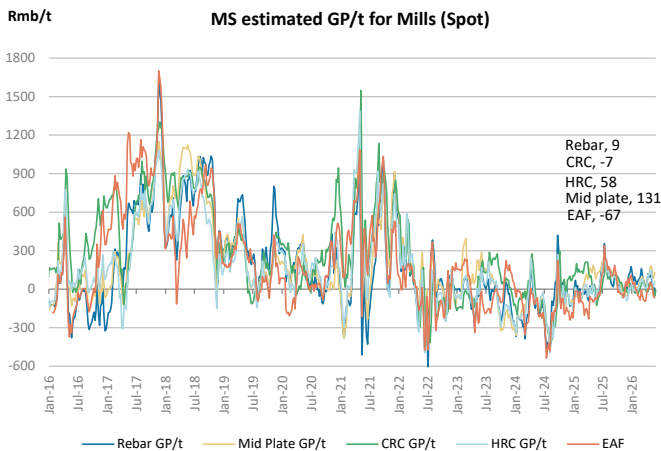
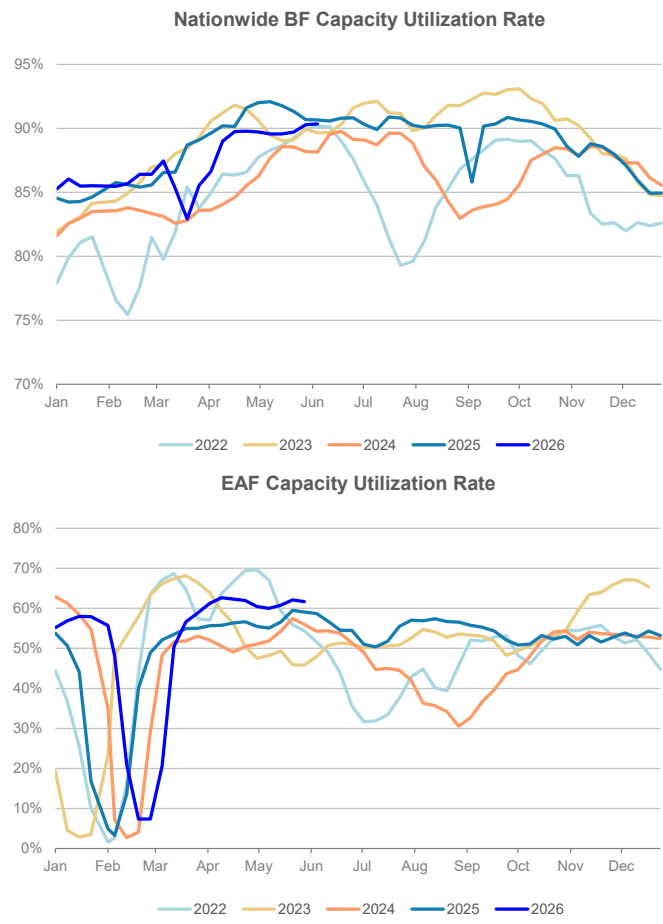
Iron Ore Inventory at Ports



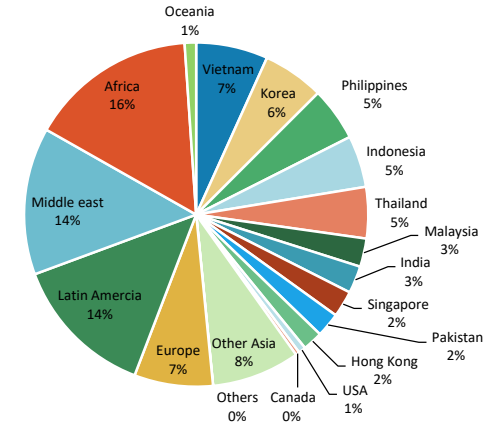
Source: MySteel, CISA, Morgan Stanley Research.

Steel

Utilization & Exports



Steel exports by destination (2026 YTD)



Source: Mysteel, Bloomberg, Morgan Stanley Research estimates.

Steel Exports by Destination

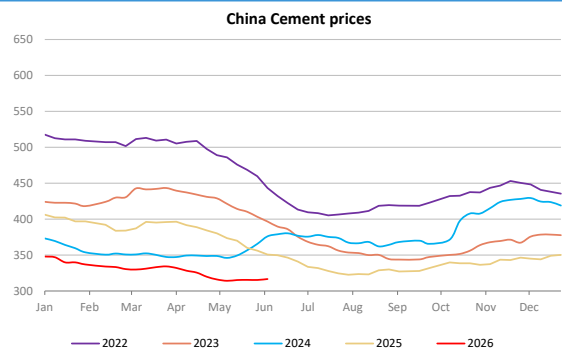


Source: NBS, CEIC, Morgan Stanley Research.

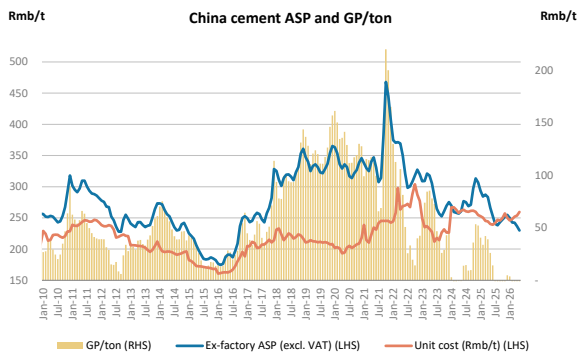
Cement

ASP and GP/t Have Seen Sequential Weakening Recently

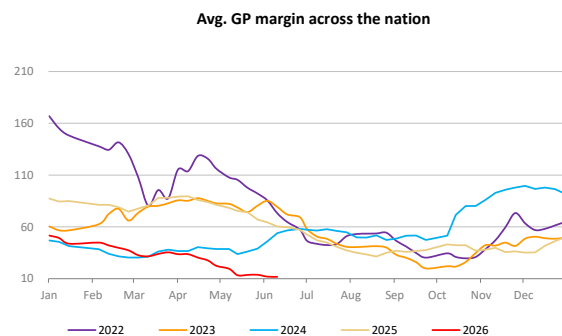
China Cement Prices Have Trended Down Since April



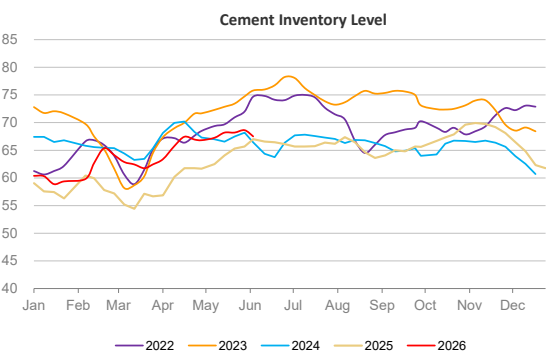
Cement Industry GP/t Has Decreased



GP/t Slippage Continued



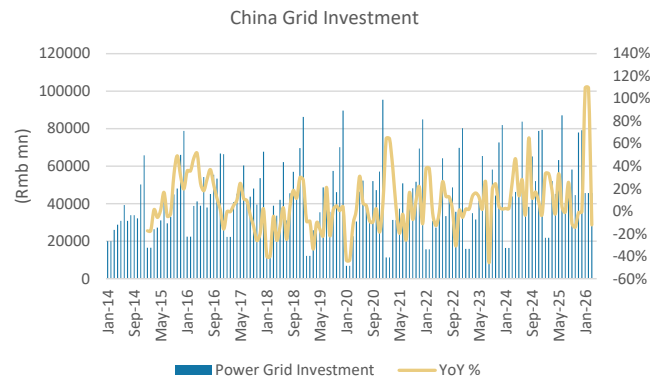
Cement Inventory Increased YTD



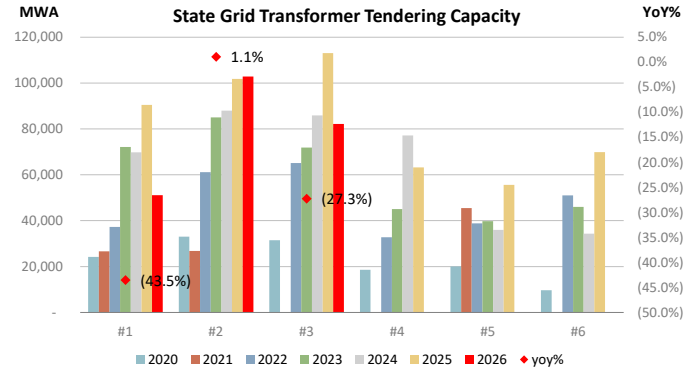
Source: Digital Cement, Morgan Stanley Research.

Copper

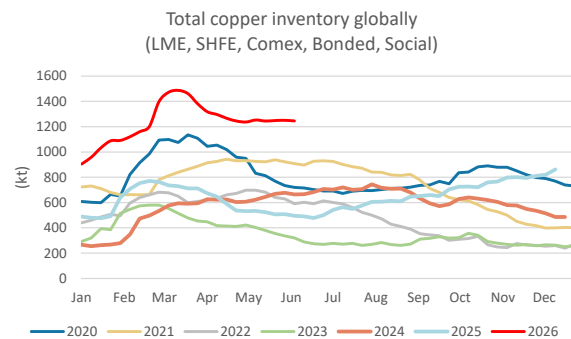
China Power Grid Investment



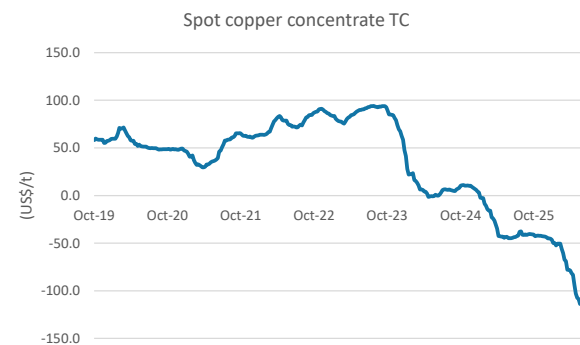
State Grid Transformer Tendering Capacity



Apparent Copper Inventory



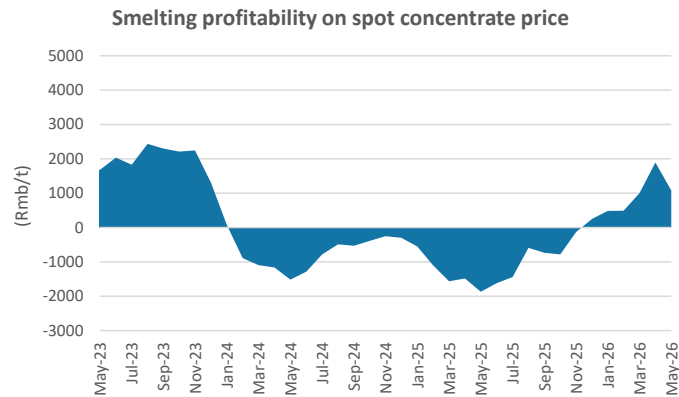
Copper TCRC



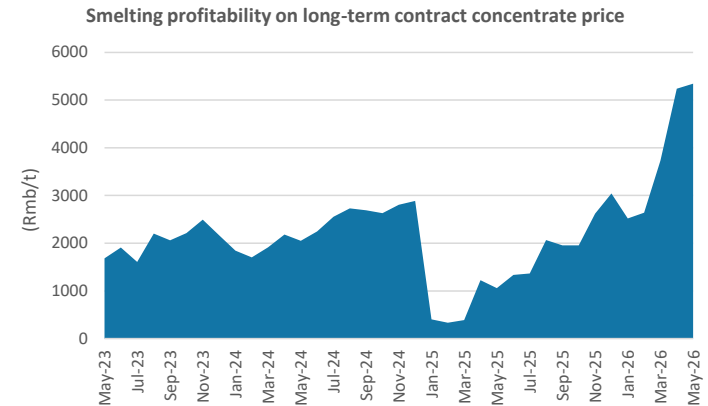
Source: Mysteel, CEIC, State Grid Corporation of China, Morgan Stanley Research estimates.

Copper

Smelting Profitability on Spot Concentrate Price



Smelting Profitability on LT Contracted Concentrate Price



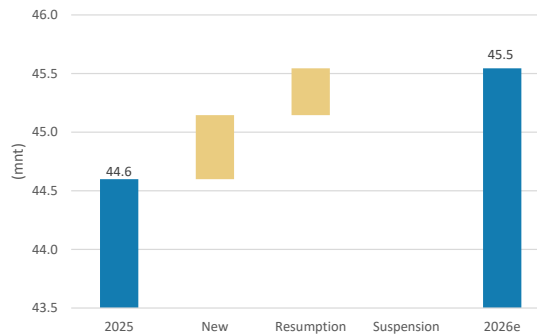
2014-2026 State Grid Transformer Equipment Tendering

Product	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026YTD	YoY
Transformer (MVA)	257,507	285,286	245,598	215,973	238,914	142,083	137,118	101,792	286,144	359,771	390,992	494,041	236,129	23%
Electric Reactor	1,362	1,282	1,391	1,085	1,379	1,374	1,326	1,288	1,503	1,971	2,276	2,831	1,463	-14%
Instrument Transformer	28,053	37,468	27,491	21,551	24,678	9,903	17,951	17,264	20,684	28,820	34,187	40,476	26,185	-5%
Capacitor	11,004	25,317	13,815	16,317	20,552	6,607	11,828	3,775	4,500	5,251	5,865	6,919	4,623	5%
Composite Apparatus	8,428	8,187	7,393	7,534	7,461	4,217	12,398	9,554	11,291	21,695	14,945	17,096	8,364	-8%
Circuit Breaker	8,267	10,089	6,956	5,454	6,583	1,695	4,081	3,018	3,610	4,768	6,268	5,604	4,016	7%
Isolation Switch	24,600	28,948	17,453	13,681	17,446	4,785	11,920	10,184	11,013	13,383	15,861	18,005	11,443	-6%
Petersen Coil	4,066	5,430	5,647	2,813	3,402	604	1,941	1,437	2,130	2,068	2,148	2,608	1,910	9%
Switchgear	45,759	57,796	38,468	40,060	38,359	6,350	54,639	44,385	48,384	58,260	66,805	79,920	53,272	3%
Protection Equipment	17,679	17,114	14,964	14,493	19,165	25,141	20,070	18,814	18,383	22,820	27,161	38,247	22,276	-11%
Substation Monitoring Equipment	1,891	2,706	1,697	1,826	1,813	1,721	701	1,426	1,470	1,565	1,836	2,387	1,929	15%

Source: SMM, State Grid Corporation of China, Morgan Stanley Research.

Aluminum

Aluminum Capacity in 2026



Expected New Aluminum Capacity in 2026

Province	Company	Capacities Planned (mnt)	Able to commence within the year	Already commenced (mnt)	Remaining to start within the year (mnt)
Xinjiang	Xinjiang Nonliushi Aluminum	0.28	0.28	-	0.28
Xinjiang	Xinjiang Huazhang Aluminum	0.20	0.44	-	0.44
Xinjiang	Xinjiang East Hope	0.16	0.16	-	0.16
Xinjiang	Xinjiang Qiya Aluminum	0.21	0.21	-	0.21
Xinjiang	Xinjiang Tianshan Aluminum Jinlian	0.12	0.12	-	0.12
Inner Mongolia	Inner Mongolia Dongshan Aluminum	0.44	0.44	-	0.44
Inner Mongolia	Inner Mongolia Huomeihongjun Aluminum	0.35	0.35	0.02	0.33
Inner Mongolia	Inner Mongolia Jinlian Aluminum	0.02	0.02	-	0.02
Yunnan	Yunnan Hongtai Aluminum	0.23	0.23	-	0.23
Yunnan	Yunnan Honghe Aluminum	0.50	0.50	-	0.50
Shanxi	Shanxi Zhaofeng Aluminum	0.29	0.29	-	0.29
Qinghai	Qinghai Qiaotou Aluminum	0.10	0.10	-	0.10
Guangxi	Guangxi Longlin Baikuang Aluminum	0.08	0.08	-	0.08
Sub total		2.98	3.22	0.02	3.20

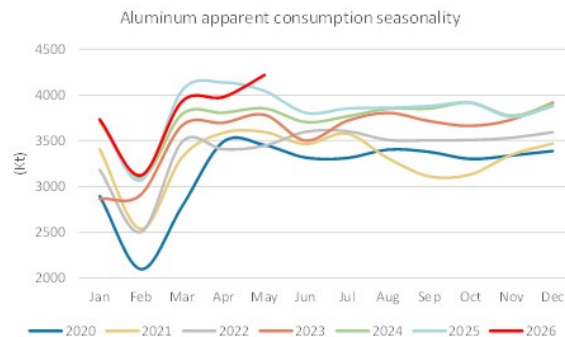
Source: SMM, Baiinfo, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Aluminum

China Aluminum Supply/Demand Model

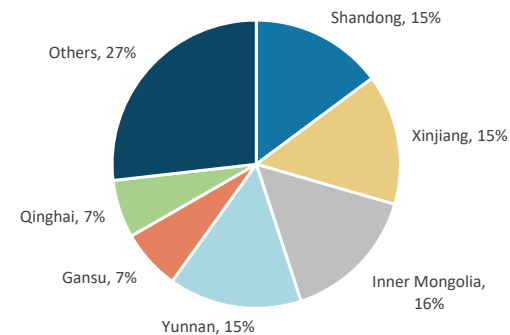
	Unit	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e
Primary Aluminum																	
Production (Aladdiny+NBS)	mnt	19.5	22.8	25.2	28.0	31.3	31.9	36.5	36.8	35.4	37.1	38.5	40.2	41.7	43.1	43.9	44.9
YoY change	%	15%	16%	11%	11%	12%	2%	15%	1%	-4%	5%	4%	4%	4%	3%	2%	2%
Import		0.23	0.52	0.37	0.27	0.15	0.20	0.12	0.13	0.08	1.07	1.57	0.67	1.54	2.14	2.57	2.70
Export		0.08	0.13	0.12	0.10	0.03	0.02	0.01	0.06	0.08	0.01	0.01	0.11	0.15	0.12	0.28	0.31
Net imports	mnt	0.14	0.39	0.26	0.17	0.12	0.18	0.10	0.07	0.00	1.06	1.6	0.563	1.392	2.015	2.288	2.389
YoY change		294%	173%	-35%	-33%	-28%	48%	-44%	-31%	-101%	NM	48%	-64%	147%	45%	14%	10%
Total supply		19.7	23.2	25.4	28.12	31.4	32.1	36.6	36.8	35.4	38.1	40.1	40.8	43.1	45.1	46.2	47.3
YoY change		15.9%	17.6%	9.9%	10.5%	11.6%	2.1%	14.2%	0.6%	-3.9%	7.7%	5.0%	1.8%	5.7%	4.8%	2.4%	2.3%
China consumption	mnt	19.4	22.6	25.1	27.7	30.3	32.7	35.4	37.1	36.6	38.4	40.6	41.1	43.2	45.6	46.7	47.2
YoY change	%	11%	16%	11%	10%	9%	8%	8%	5%	-2%	5%	6%	1%	5%	6%	2%	1%
Surplus/(deficit)	mnt	0.25	0.60	0.37	0.44	1.09	-0.65	1.20	-0.30	-1.16	-0.21	-0.49	-0.33	-0.07	-0.50	-0.51	0.06
Apparent Consumption	mnt	19.7	22.1	25.2	27.8	30.9	32.1	35.0	37.3	35.9	36.0	36.7	40.0	40.4	41.0	41.5	42.5
YoY change	%	17%	12%	14%	10%	11%	4%	9%	6%	-4%	0%	2%	9%	1%	2%	1%	2%
Capacity utilisation	%	83%	89%	86%	84%	85%	79%	85%	88%	88%	89%	90%	92%	93%	96%	96%	96%
Capacity utilisation (ex. Illegal capacity)	%	83%	89%	86%	84%	85%	79%	85%	88%	88%	89%	90%	92%	93%	96%	96%	96%
Ali Capacity (Installed)		24.2	27.1	31.4	35.2	38.6	42.4	43.6	39.9	41.0	42.6	42.8	44.5	44.8	45.1	45.4	45.4
Ali Capacity (operating)		20.6	24.6	27.3	30.5	30.4	36.2	36.2	36.4	37.2	39.3	37.5	39.9	42.2	44.2	44.6	45.1

Solid Demand from Aluminum Smelters



Aluminum Production Breakdown

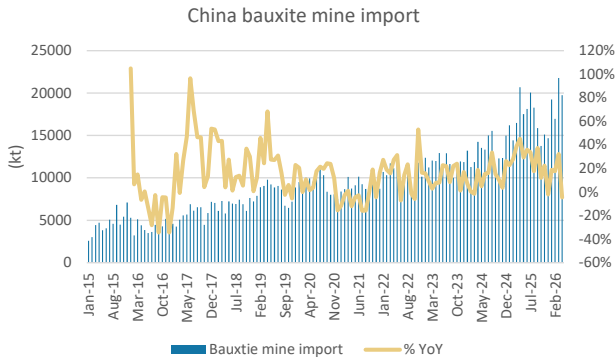
Aluminum production by province as of 2026 YTD



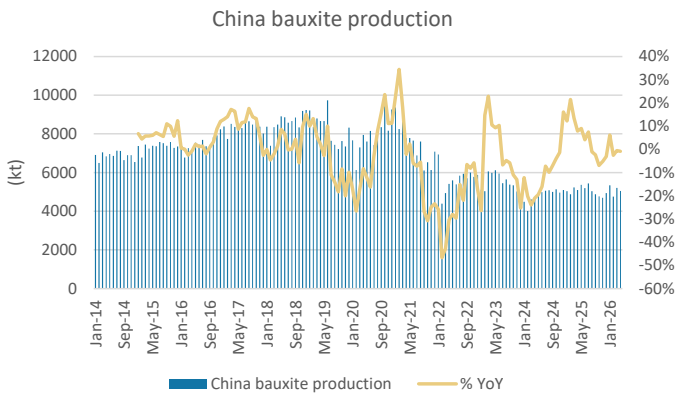
Source: NBS, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Bauxite & Alumina

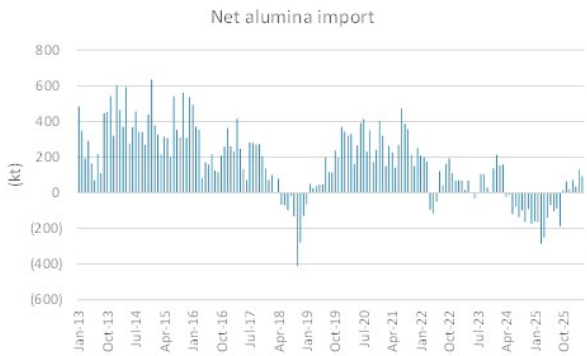
Reliance on Imported Bauxite is Increasing



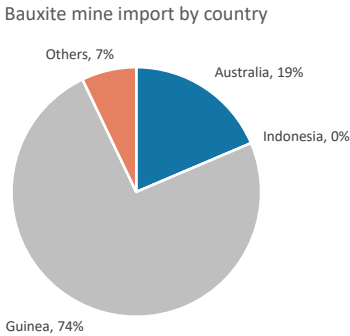
Bauxite Production



Net Alumina Imports Turning Positive



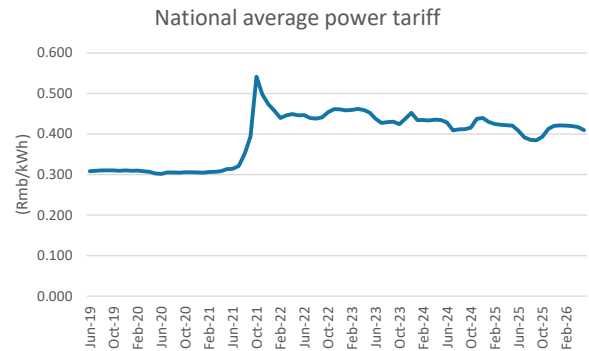
Guinea Accounts for >70% of Total Bauxite Imports



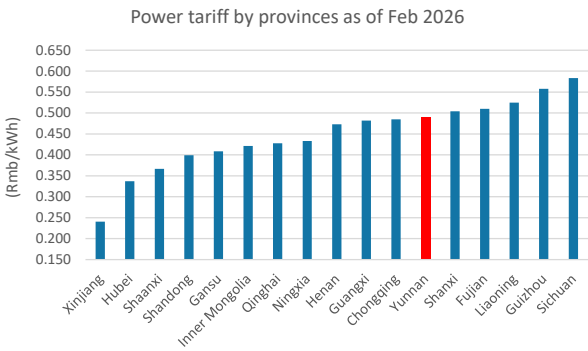
Source: China Custom, SMM, Morgan Stanley Research.

Power Tariff for Aluminum Smelters

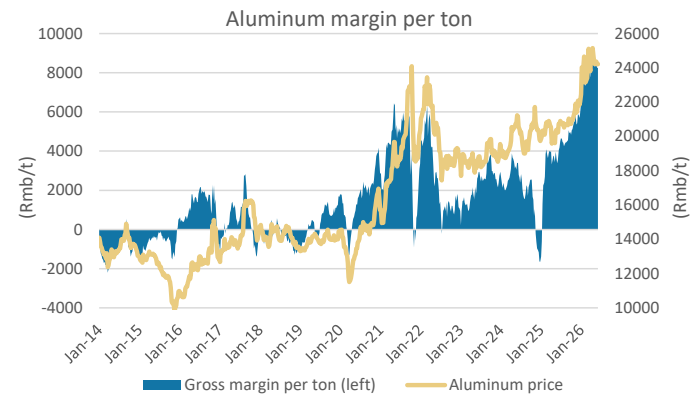
National Average Power Tariff for Smelters



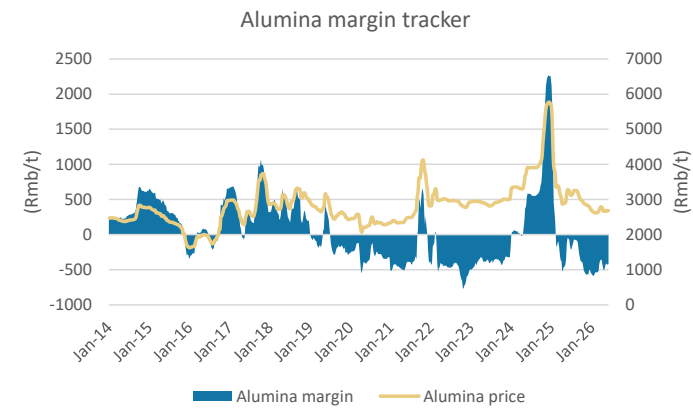
Power Tariff by Province



China Aluminum Spread



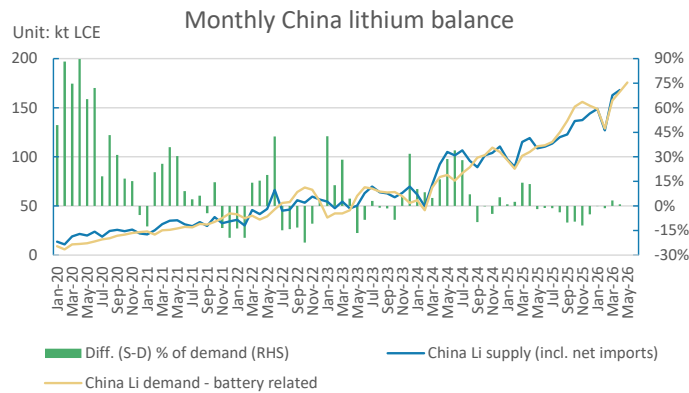
China Alumina Spread



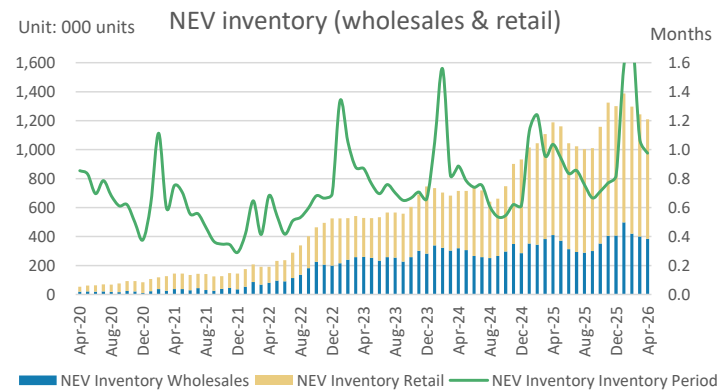
Source: Bloomberg, Baiinfo, SMM, Wind, Morgan Stanley Research.

EV & Lithium

Lithium Inventory in China



EV Inventory



Source: China Customs, SMM, Baiinfo, CAAM, CPCA, Morgan Stanley Research. Note: We measure the market balance by looking at: 1) total market supply, containing domestic lithium chemical output, adjusted by net imports (mainly adding imports of lithium carbonate and deducting exports of lithium hydroxide); and 2) lithium-ion battery-related demand, primarily from the production of cathode materials in China. NEV PV wholesales inventory is calculated from the difference between production and wholesales, and retail sales inventory is from the difference between wholesales and retail sales as well as exports; Inventory period is calculated by dividing total NEV PV inventory by the current monthly wholesale.

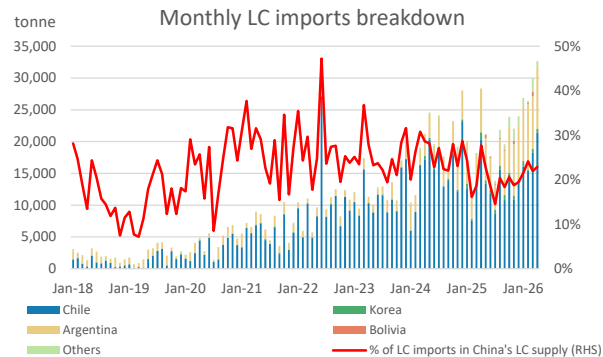
Lithium

		kt LCE	2023	2024	2025	2026
Total China Supply		1,409.6	209.5	291.3	362.5	533.5
YoY chg kt LCE			40.2	81.8	71.2	171.0
YoY chg %			24%	39%	24%	47%
1) Spodumene concentrate		361.1	21.4	35.5	68.0	129.2
YoY chg			7.3	14.1	32.5	61.2
2) Brine		608.8	102.9	112.6	148.6	237.1
YoY chg			14.8	9.6	36.0	88.5
3) Lepidolite		439.7	85.1	143.3	145.9	167.2
YoY chg			18.1	58.1	2.7	21.3
Spodumene Concentrate		361.1	21.4	35.5	68.0	129.2
China						
Zhonghe	Barkam (Dangba)		China	SC		
Rongjie	Jiajika 134	甲基卡	China	SC	9.4	7.4
Rongjie	Jiajika 134 Exp. - Beneficiation	甲基卡	China	SC	15.6	9.4
Rongjie	Jiajika 134 Exp. - Mining & Beneficiation	甲基卡	China	SC	35.0	
Chuanneng & Yahua	Lijiagou	李家沟	China	SC	23.5	4.7
Chengxin	Yelonggou / Aoyinuo	奥义诺	China	SC	9.4	11.7
Chengxin	Murong	木绒	China	SC	80.0	15.6
Tianqi	Yajiang Cuola	雅江措拉	China	SC	12.5	9.4
Ganfeng	Ningdu Heyuan		China	SC	3.0	
Xingneng	Dechenongba	德扯弄巴	China	SC		
Xinjiang Non-Ferrous	Dahongliutan	大红柳滩	China	SC	62.5	5.0
Xinjiang Non-Ferrous	Dahongliutan	大红柳滩	China	SC	37.5	15.0
Dazhong	Jiada		China	SC	50.0	5.0
Guocheng	Dangba		China	SC	22.7	13.6
						30.0

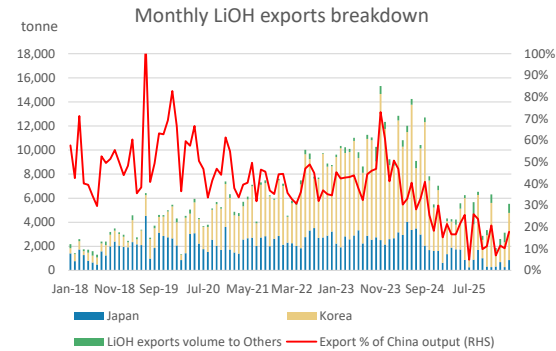
Source: Company data, Morgan Stanley Research estimates.

Lithium

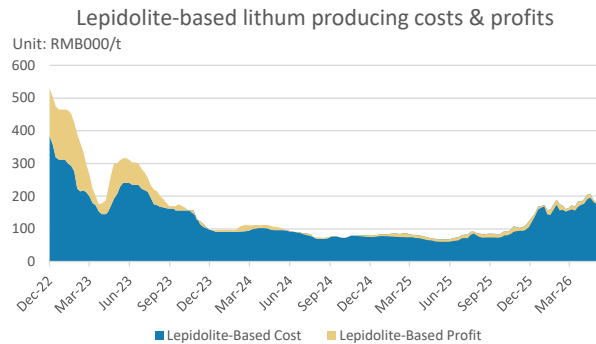
China Predominately Imports LC from Chile and Argentina



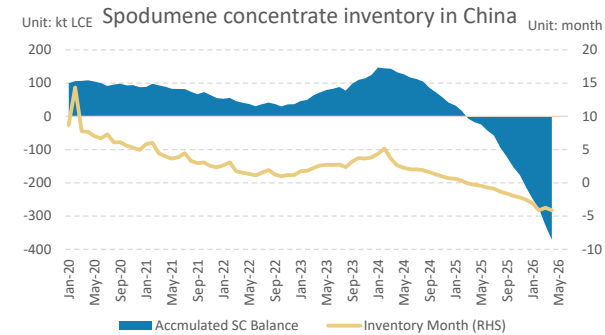
China's LiOH Output is Mainly Exported to Korea and Japan



Lepidolite-based LC Profit



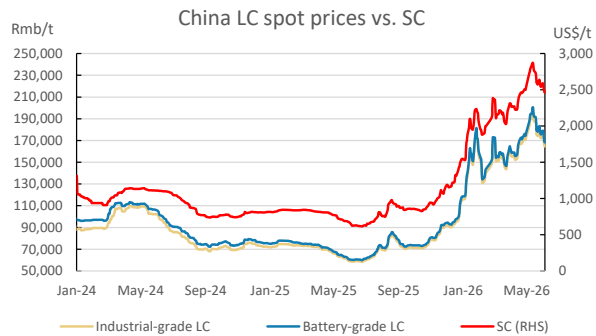
Spodumene Inventory in China



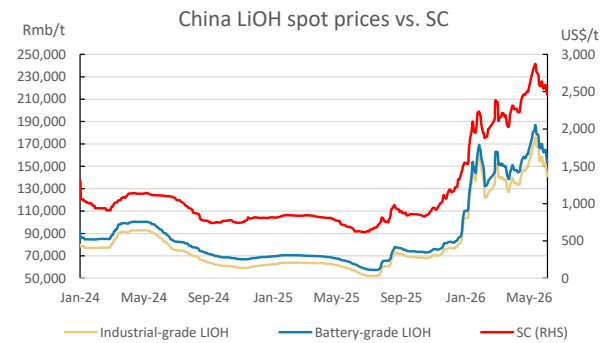
Source: China Customs, SMM, Morgan Stanley Research. Note: LC represents lithium carbonate; LiOH represents lithium hydroxide; LFP represents lithium iron phosphate materials; NCM/NCA represents ternary materials.

Lithium

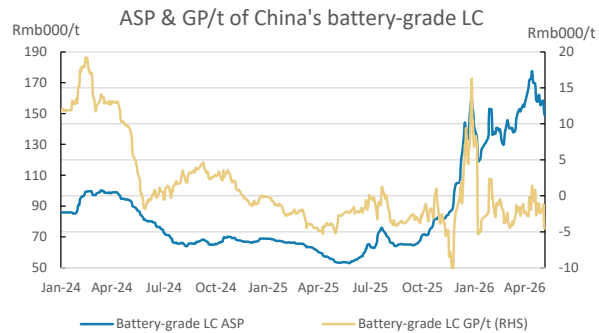
Prices Recovery Observed for Lithium Carbonate



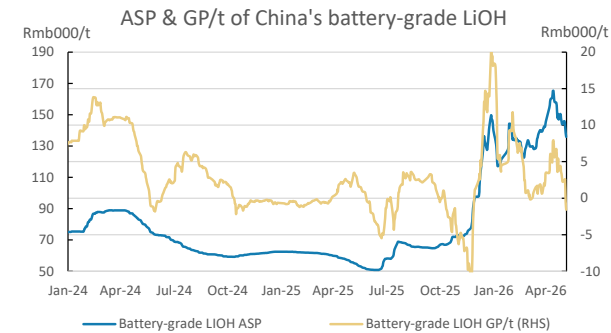
Also for Lithium Hydroxide



GP/t at Independent LC Converters Rebounded



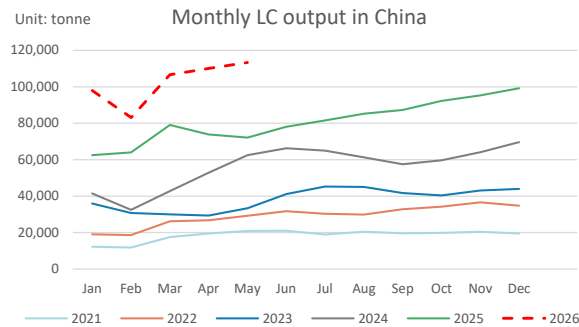
Also for Independent LiOH Producers



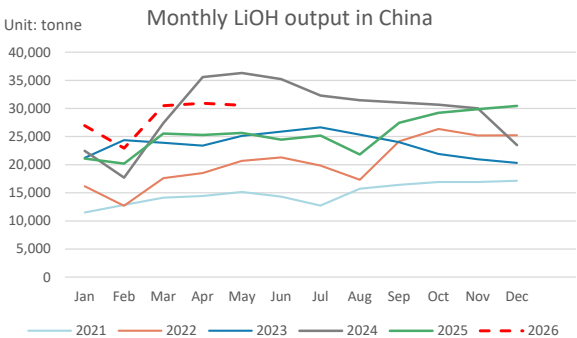
Source: Baiinfo, Morgan Stanley Research estimates. Note: LC represents lithium carbonate; LiOH represents lithium hydroxide.

Lithium

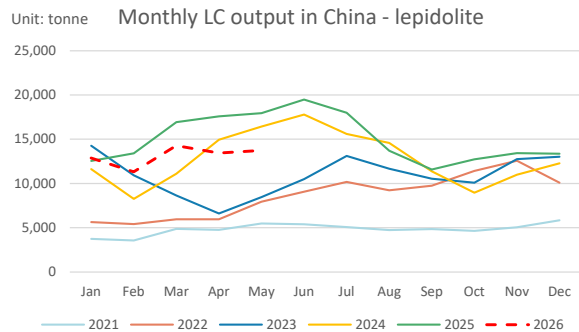
Domestic LC Output Stays Elevated



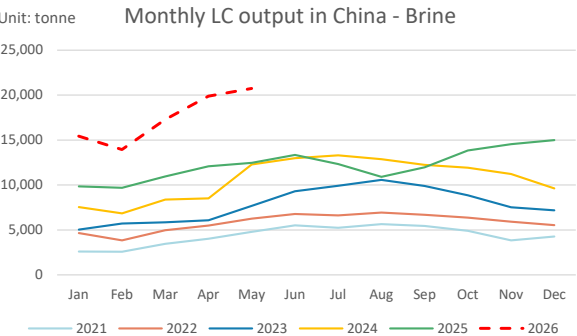
Domestic LiOH Output Grew YoY



Lepidolite Output In-line with Seasonality



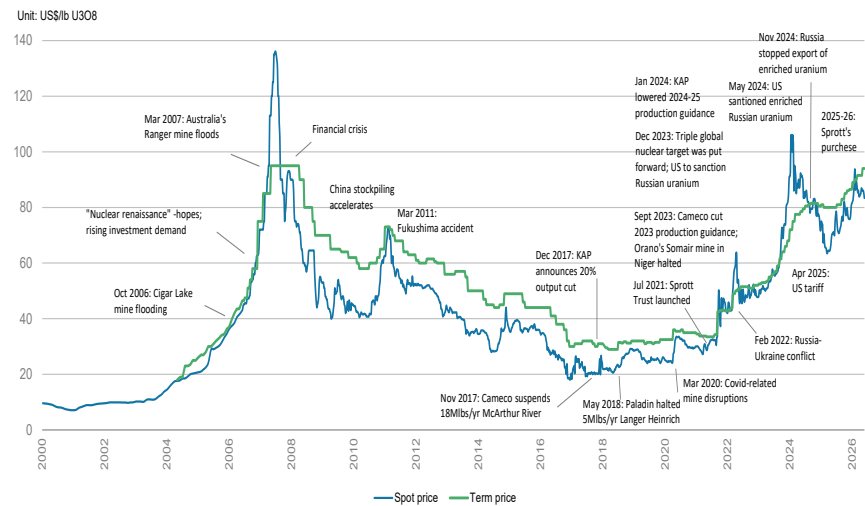
Brine Output at a Seasonal High



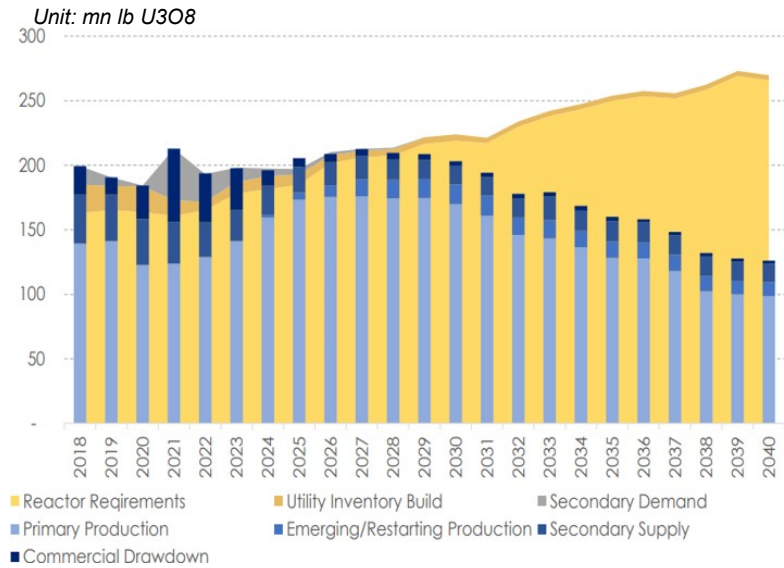
Source: SMM, Morgan Stanley Research. Note: LC represents lithium carbonate; LiOH represents lithium hydroxide; LFP represents lithium iron phosphate materials; NCM/NCA represents ternary materials.

Uranium

Uranium Price History



Uranium has Long-term Supply Risks

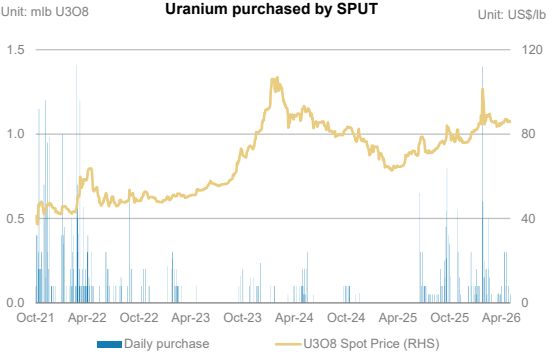


Country	Nuclear Power Development Plans
China	China targets to reach 150GW nuclear installed capacity by 2035 vs. 56.9GW as end of 2023
US	US and 21 other countries pledged to triple nuclear capacity by 2050 from 2020 level, implying ~3.9% CAGR of capacity growth.
UK	UK plans to increase nuclear generation by up to 4 times to 24GW by 2050.
Japan	Japan is actively extending life of nuclear power plants to 60 years, restarting suspended reactors, and planning to build new reactors.
India	India plans to add 18 more nuclear reactors by 2031-32, bringing the total nuclear power capacity to 22.4GW from 6.8GW as end of 2023.

Source: Cameco, UxC, Kazatompromm Morgan Stanley Research.

Uranium

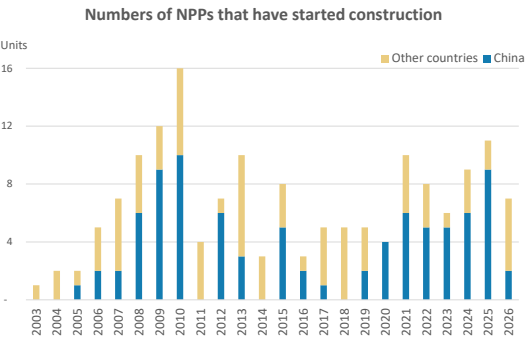
Uranium Purchased by SPUT



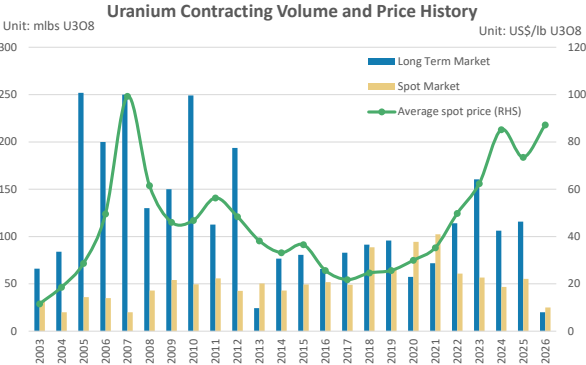
Uranium Purchased by Investment Funds



Construction Starts of NPPs Picked up



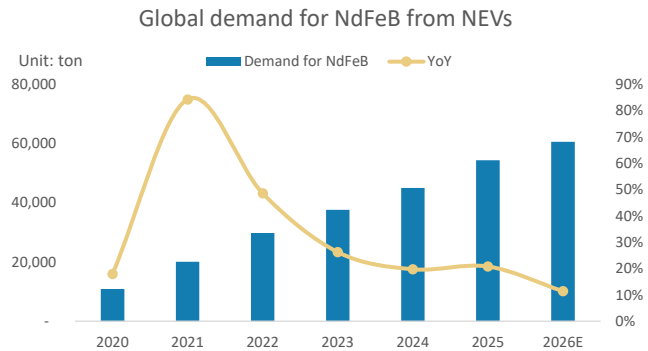
Average Spot Price is up Further YTD 2026



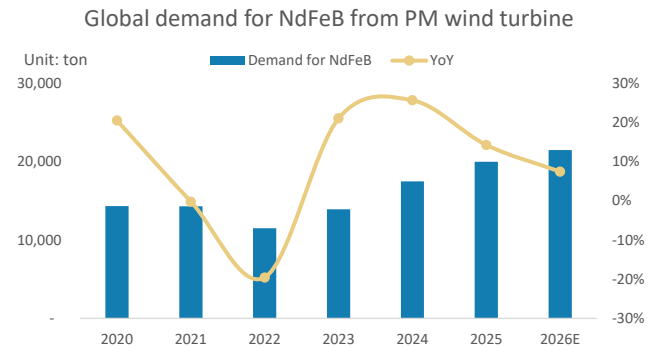
Source: SPUT, WNA, IAEA, Yellow Cake, Cameco, Morgan Stanley Research.

Rare Earth Permanent Magnets

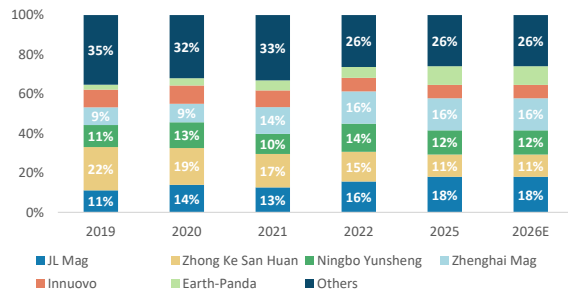
Demand for NdFeB from EVs CAGR of 33% in 2020-2026



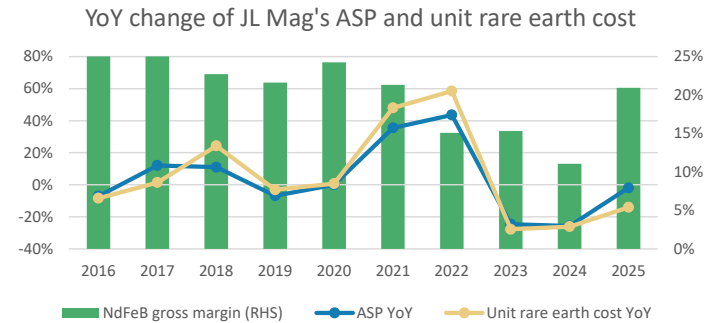
Demand for NdFeB from Wind CAGR of 7% in 2020-2026



JL Mag's Market Share to Increase



Rare Earth Costs Can Be Passed Through

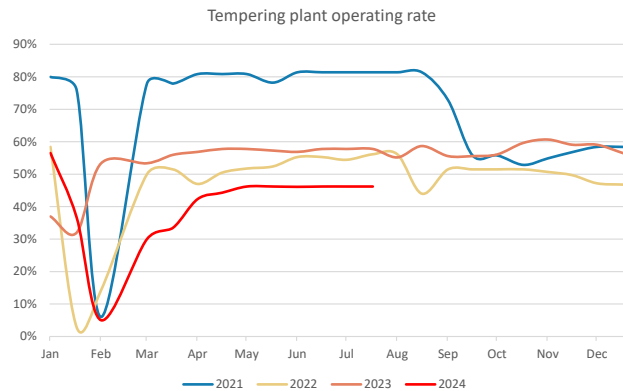


Source: Frost & Sullivan, Morgan Stanley Research. e = Morgan Stanley Research estimates.

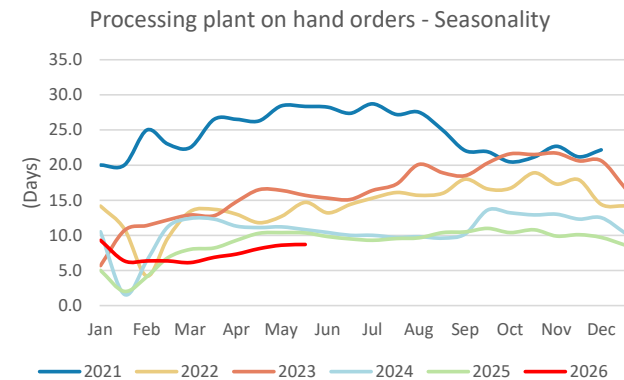
Glass

Float Glass Price and Inventory

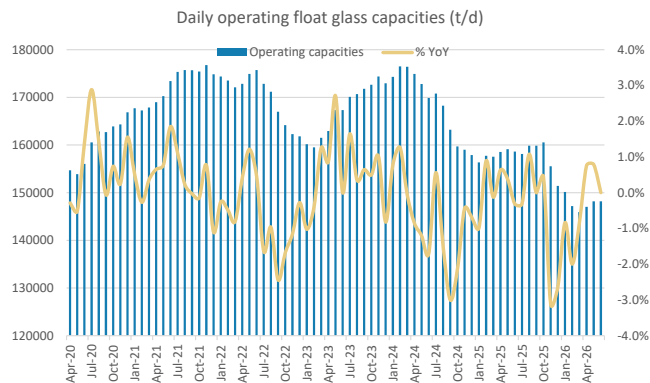
Operating Rate at Tempering Plant Remains Low



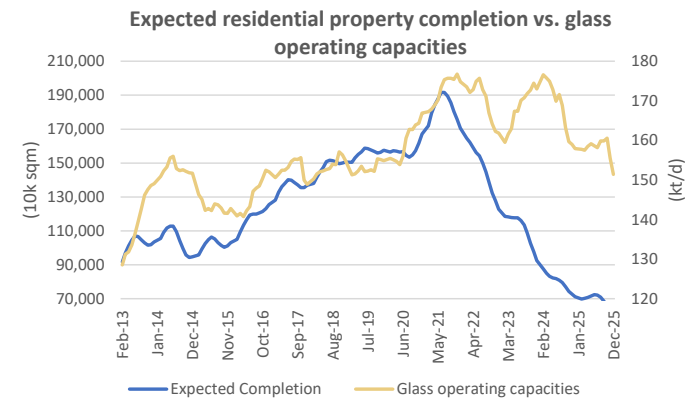
Order Days at Processing Plants is Also Low



Glass Operating Capacity Recovered



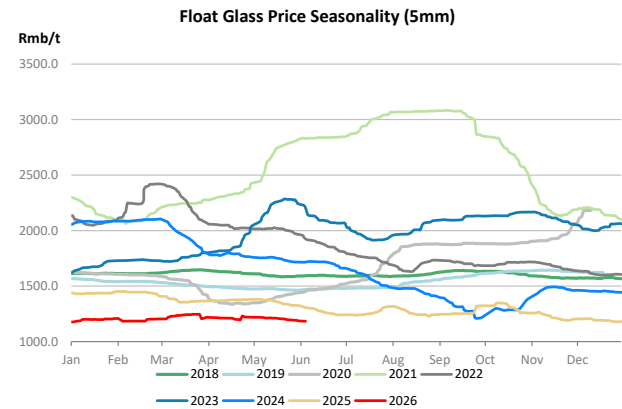
Mismatch Between Supply and Demand is Widening



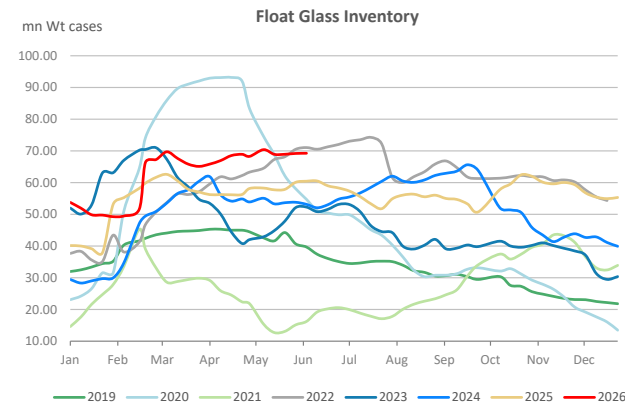
Source: SCI, Wind, CEIC, Morgan Stanley Research.

Demand From the Property Market Remains Muted

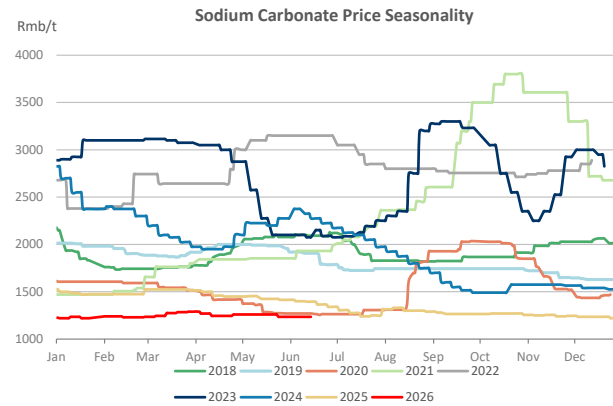
Float Glass Price



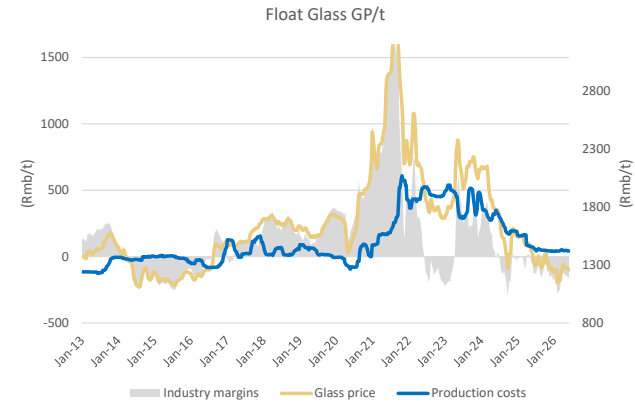
Float Glass Inventory



Sodium Carbonate Price



Float Glass Margin

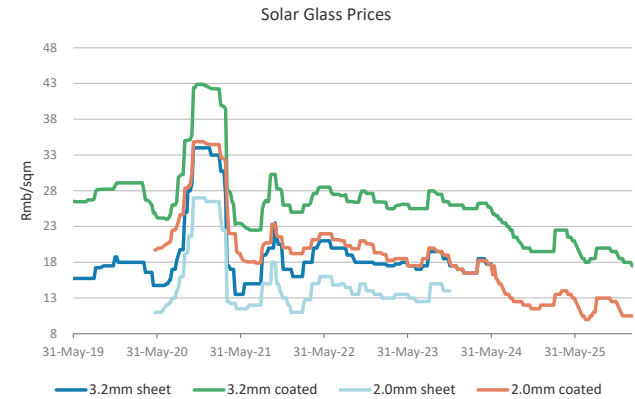


Source: OilChem, SCI, Wind, CEIC, Morgan Stanley Research.

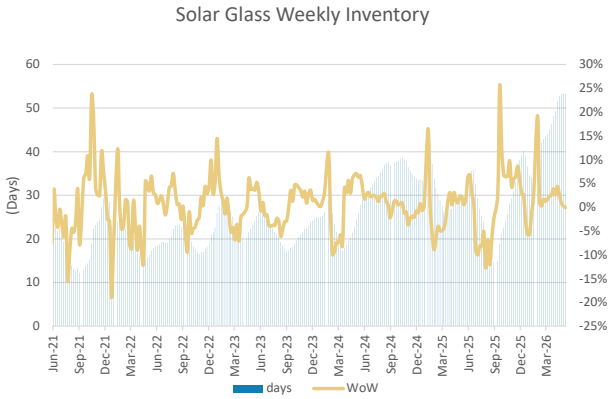
Glass

Solar Glass Price and Inventory

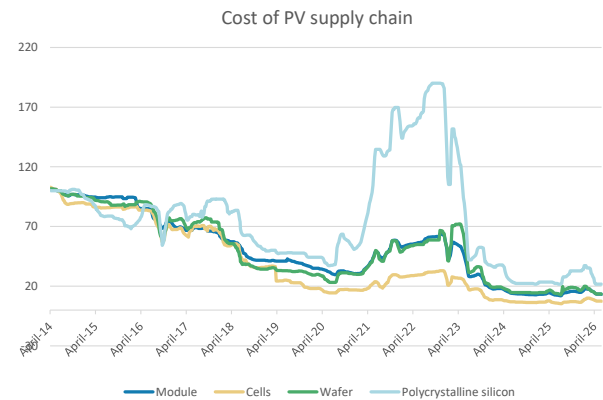
Solar Glass Prices



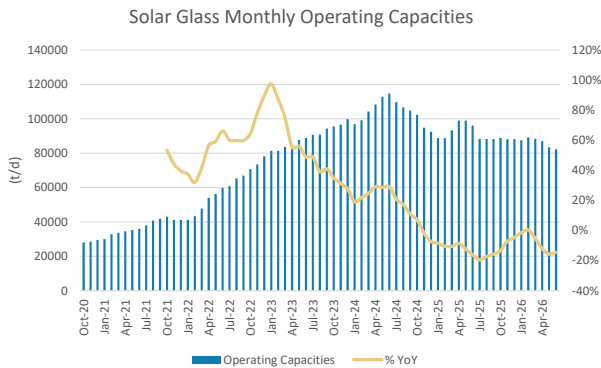
Solar Glass Inventory



Cost of PV Supply China



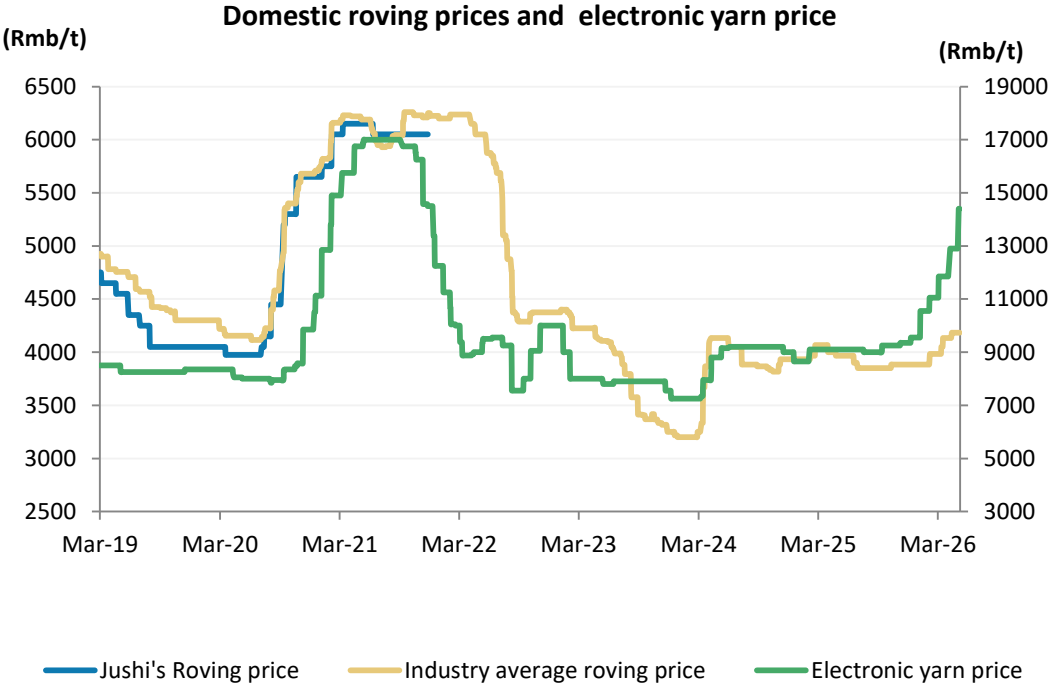
Solar Glass Capacity



Source: SCI, Wind, CEIC, Morgan Stanley Research.

Glass Fiber

Glass Fiber Prices

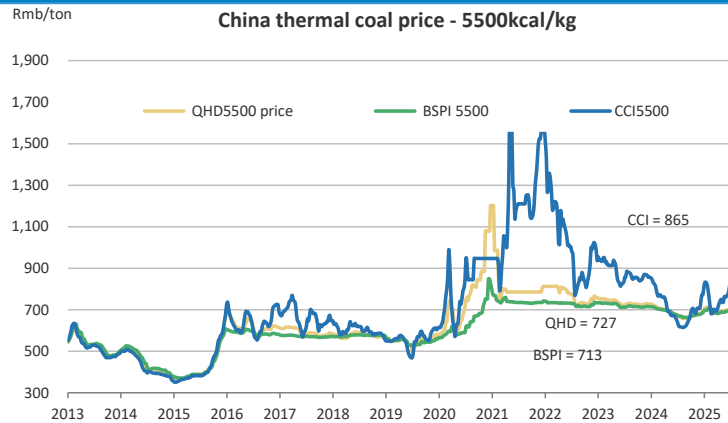


Source: SCI, company data, Morgan Stanley Research.

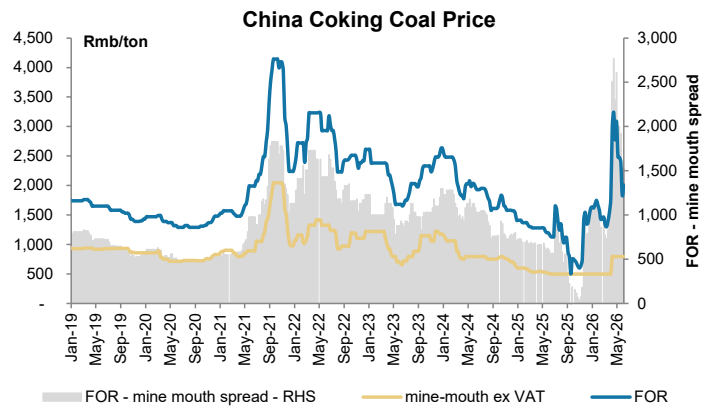
Coal

Price Recovery

The Domestic Thermal Coal Spot Discount has Reversed...

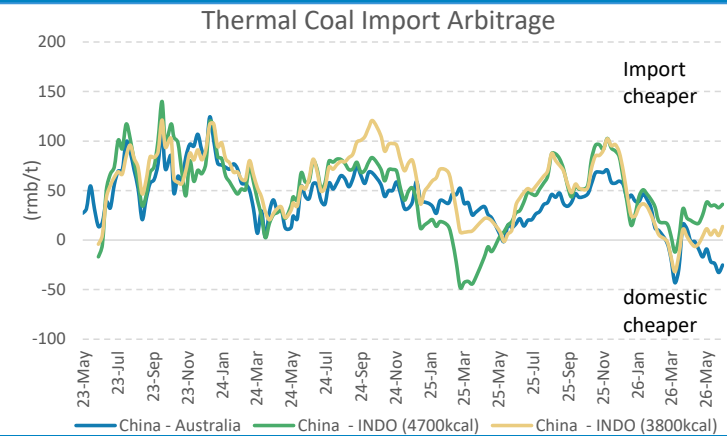


Similarly, Coking Coal Price Saw Rounds of Rebound...

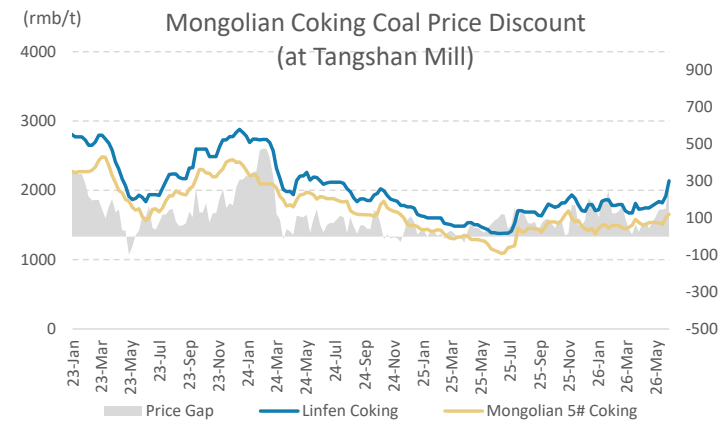


Source: CCTD, SXCoal, NBS, Morgan Stanley Research.

...Which Makes Imports More Attractive

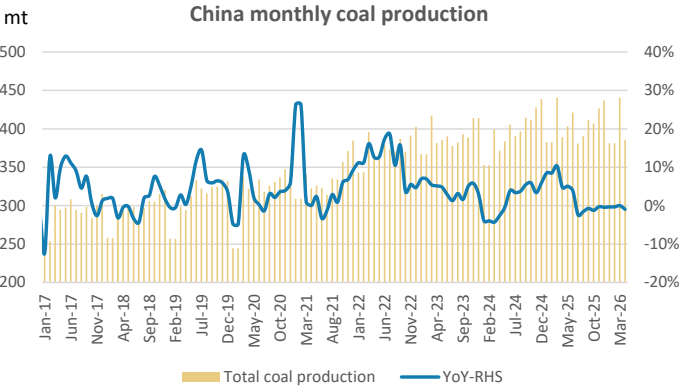


...Incentivizing Coking Coal Imports From Mongolia

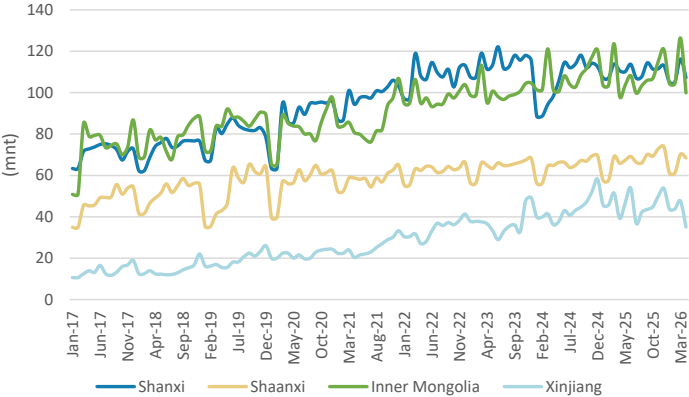


Coal

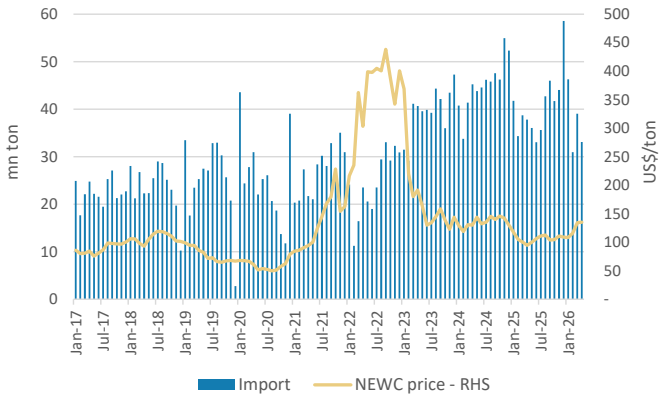
China's Coal Production Mostly Flattish YTD



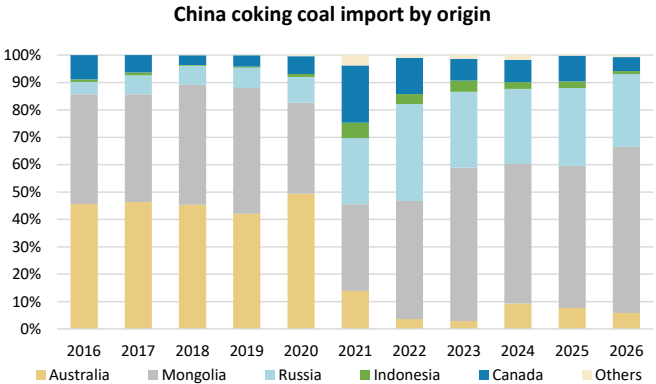
Inner Mongolia and Xinjiang Production Accelerated



China's Coal Imports Dropped on Indonesia's Export Controls



Mongolia and Russia are Top Sources of China Imports

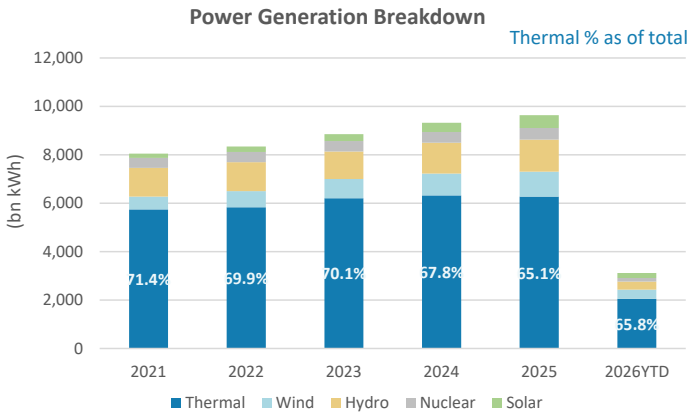


Source: CCTD, SXCoal, NBS, Morgan Stanley Research.

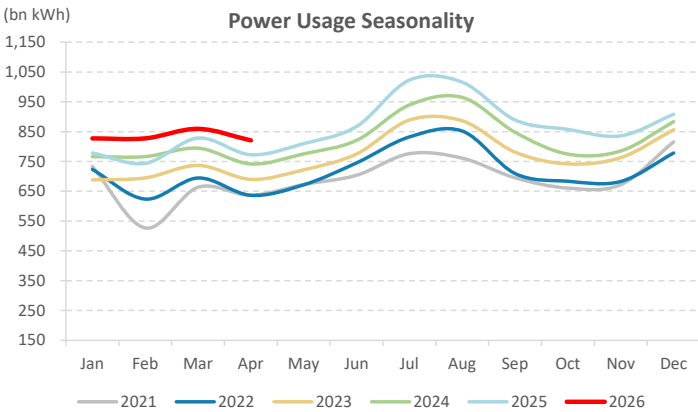
Coal

Carbon Control + Macro are the Key Overhangs on Demand

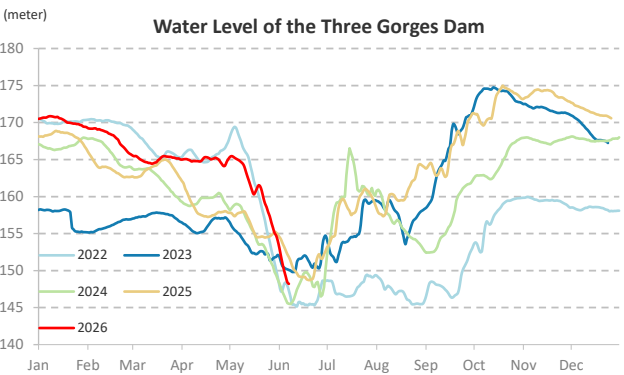
Share of Thermal Power Generation Has Been Declining



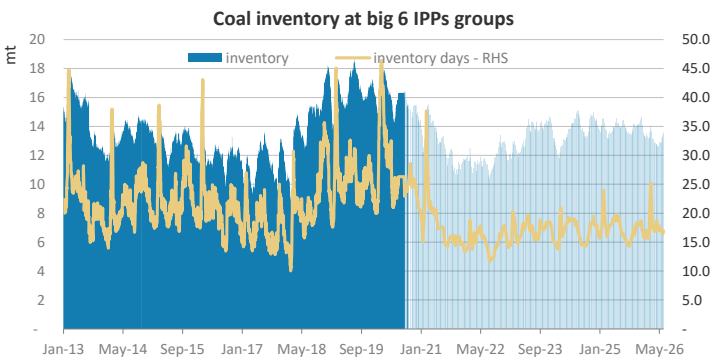
Power Consumption Reaching a Seasonal High



Rainfall at Three Gorges Dam Remain Stable



Downstream Coal Inventory has Been Around the Historical Average

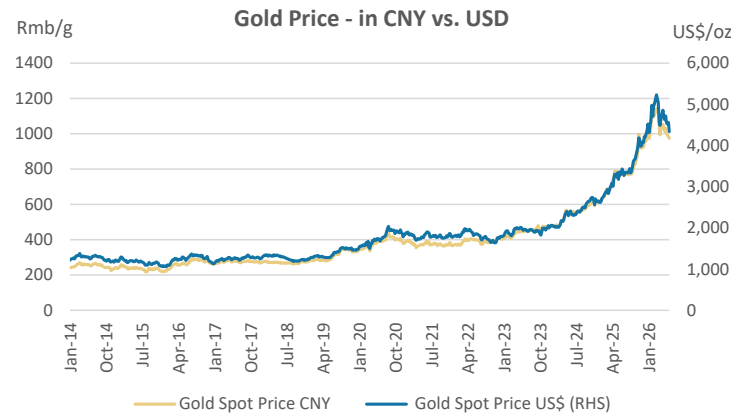


Source: CCTD, SXCoal, NBS, Morgan Stanley Research.

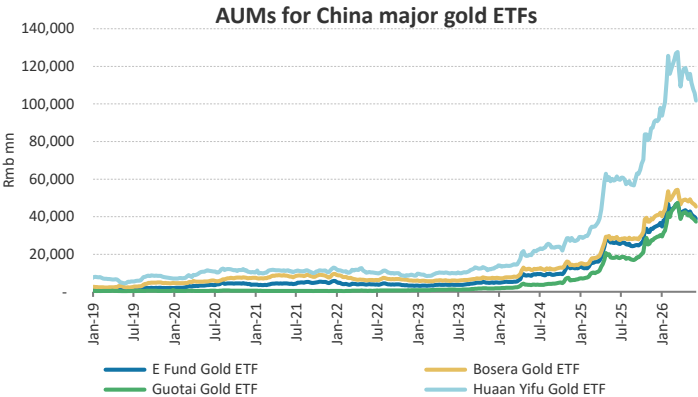
Gold

Upward Price Trend

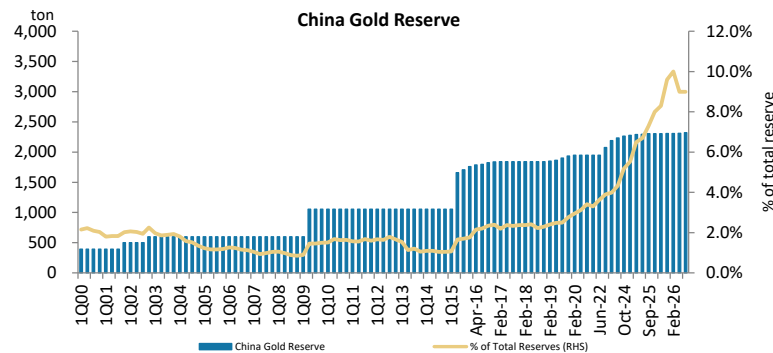
Gold Price – in CNY vs. USD



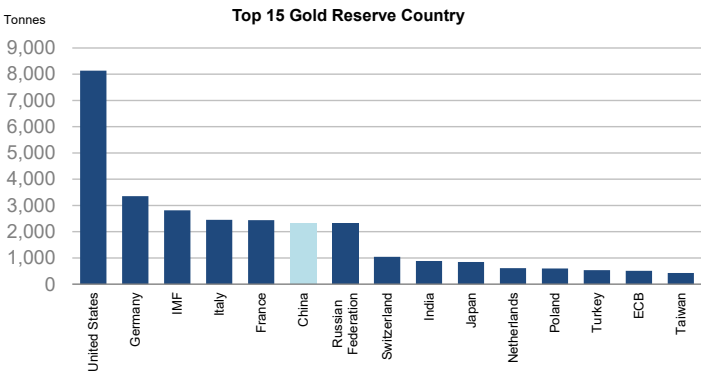
AUMs for Chinese Gold ETFs Have Been Rising



China is Building Gold Reserve



China has Been Catching up on Gold Reserves Among Central Banks



Source: World Gold Council, Morgan Stanley Research.

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb17.32
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.74
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb47.70
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb7.02
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb187.53
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb57.15
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb59.88
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb47.15
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$26.58
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$18.27
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$7.82
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb10.95
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.11
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.66
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.25
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb13.39
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$9.40
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb47.10
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb10.10
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$9.74
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.74
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb21.45
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb12.06
China Jushi (600176.SS)	O (12/22/2020)	Rmb39.37
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.15
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.70
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$16.27
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb16.79
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb45.84
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$29.52

FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.67
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb67.60
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$55.00
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb70.50
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb24.69
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$32.50
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb40.49
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$17.74
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb29.41
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.60
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb26.61
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$21.08
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb4.56
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$43.76
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb59.48
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb9.46
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$18.52
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$103.30
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$29.72
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb27.70

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Greater China Cement

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
Rachel L Zhang		
Anhui Conch Cement Co. Ltd (0914.HK)	E (04/20/2026)	HK\$18.15
Anhui Conch Cement Co. Ltd (600585.SS)	E (04/20/2026)	Rmb18.78
Asia Cement (1102.TW)	U (04/01/2021)	NT\$34.40
China National Building Material Company (3323.HK)	O (04/07/2025)	HK\$4.83
China Resources Building Materials (1313.HK)	U (04/20/2026)	HK\$1.23
Huaxin Building Materials (6655.HK)	O (10/17/2025)	HK\$13.58
Huaxin Building Materials (600801.SS)	O (04/14/2017)	Rmb18.35
Taiwan Cement (1101.TW)	U (04/01/2021)	NT\$23.90
West China Cement (2233.HK)	U (04/20/2026)	HK\$1.63

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* Historical prices are not split adjusted.

